tions (guilds) is union.' It is said that 'the merchant-guilds were of such authority that the king was not allowed to establish any laws repugnant to these trade unions. The heads of guilds are mentioned next after priests as objects of a king's anxious concern.'* The chief of the merchants, the *shreshthi* (modern seth), was a man of very considerable importance.

One rather extraordinary development emerges from the Jataka accounts. This is the establishment of special settlements or villages of people belonging to particular crafts. Thus there was a carpenters' village, consisting, it is said, of 1,000 families; a smiths' village, and so on. These specialized villages were usually situated near a city, which absorbed their special products and which provided them with the other necessaries of life. T h e whole village apparently worked on co-operative lines and undertook large orders. Probably out of this separate living and organization the caste system developed and spread out.

T h e example set by the Brahmins and the nobility was gradually followed by the manufacturers' corporations and trade guilds.

Great roads, with travellers' rest houses and occasional hospitals, covered north India and connected distant parts of the